



REWARD & RECOGNITION SCHEME

Ver 2.0

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Revision History

The Revision History table below provides a record of all revisions made to this document throughout its life cycle. Updates are tracked by date the revisions were made, the version number, a brief description of the changes made and reason, as well as the name of the reviser and the approver.

Effective Date	Version #	Change Description / Reason	Prepared/ Revised By	Reviewed by	Approved by
20 th April 2022	1.0	Creation	Corporate HR	Head of HR	Chief of Staff / Managing Director
5 th May 2026	2.0	Nomenclature Change	Vertical Head – HRRM	Head BHR, TMOD and TA	Chief Human Resources Officer and Head Artificial Intelligence

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1. OBJECTIVE

- 1.1. To encourage & recognize excellent performance and positive behaviors of employees towards achieving organizational mission & goals
- 1.2. To set standards of high performance and encourage a team oriented collaborative work culture
- 1.3. To enable timely recognition in immediate response to specific achievements

2. SCOPE & APPLICABILITY

- 2.1. The scheme will be applicable to all on roll employees of PFL

3. SCHEME

The rewards and recognition scheme aims to encourage and recognize behaviors, competencies & performance that contribute to the overall objective and success of the organization. Through this scheme we wish to encourage & motivate employees by providing them a competitive, healthy environment to support both self and organizational achievement.

The scheme encompasses various categories of recognition like –

1. Behavioral/ value driven
2. Individual performance
3. High Performers League
4. Branch performance
5. New joiner
6. Loyalty

4. BEHAVIORAL

- 4.1. This category of recognition aims at recognizing positive behaviors aligned to the organization's values viz. CREDIT – Collaboration, Responsible, Entrepreneurial, Direct, Innovative & Transparent. The award can also be given to employees who display positive competency traits towards result & execution, customer satisfaction (internal as well as external), agility & responsiveness, etc.
- 4.2. The subcategories for this recognition are as mentioned below –
 - Spot
 - Catalyst
 - Value Champion

4.3. Spot

Spot award as the name suggests is for recognizing efforts on the spot/ immediately. This is a 360-degree recognition tool which allows employees to recognize their peers & colleagues not only in their own vertical but also across verticals through two modes – digital & physical. The details are as mentioned below -

	PARAMETERS
Type	Nomination based (Self nomination not accepted)
Applicability	Employees in grades VP & below
Eligibility	Showcasing right set of behavior & competencies aligned to our values – CREDIT & other parameters like result & execution excellence, customer satisfaction, etc.
Nominating Authority	360 degree recognition by manager, peers, colleagues, management
Approving Authority	-
Exclusions	-
Frequency	Real time basis – on the go
Recognition	Digital badge on HRMS/ Appreciation card
Process	Employees willing to recognize anyone in the organization for above should – 1. Write an appreciation/thank you message on the appreciation cards placed at corporate/zonal offices 2. Login to HRMS & assign a badge for the parameter being recognized for

4.4. Catalyst

Basis the above outlined parameters, Manager/ BHR shall nominate their own team members or cross functional team members for showcasing consistent positive behaviors that impacted or resulted in fast tracking the organization objective. The details are mentioned below –

	PARAMETERS
Type	Nomination based (Self nomination not allowed)
Applicability	Employees in grades VP & below Minimum tenure seven (7) months on date of nomination

Eligibility	Has consistently showcased positive behavior creating impact at task/ team/ business unit/ organization level
Nominating Authority	Business HR (Zonal/ Corporate)
Approving Authority	Head BHR or Head HR or Chief of Staff
Exclusions	- Employees with disciplinary action cases in the past 6 months from the date of nomination - Employees on PIP in past 6 months from the date of nomination - Employees should not be serving notice period on the date of nomination
Frequency	Quarterly
Recognition	Digital certificate
Process	Business HR shall share nominations for final approval from the Head BHR/ Head HR
Allocation	10% of the eligible population

4.5. Value Champions

This award category is dedicated for employees showcasing consistent positive behaviors & are evangelist who walk the talk & are perceived as a positive influence by other employees. Managers can nominate employees who have been able to establish self as value champion through consistent behaviors resulting in high impact for team, business & organization at large. The details are mentioned below –

	PARAMETERS
Type	Nomination based
Applicability	Employees in grades VP & below Minimum tenure seven (7) months as on date of nomination
Eligibility	Has consistently showcased positive behavior & competencies thereby establishing self as an evangelist - Won Catalyst award in minimum two quarters in the financial year
Nominating Authority	Head BHR
Approving Authority	Head HR/ Chief of Staff

Exclusions	• Employees with disciplinary action cases in the past 6 months from the date of nomination • Employees on PIP in past 6 months from the date of nomination • Employees should not be serving notice period on the date of nomination
Frequency	Annual
Recognition	• Digital certificate • L.O.V (Living Our Values) meet with senior management
Process	Basis the winners for Catalyst, the Head BHR shall share the recommendations with Head HR & Chief of Staff
Allocation	-

5. INDIVIDUAL PERFORMANCE

5.1. This category of recognition aims at recognizing outstanding high performance contributing to the organization's top line.

5.2. The subcategories under this recognition category are as follows

- • Monthly
- Quarterly
- Half Yearly
- Annual
- MD's League

5.3. Monthly

This category of recognition aims at applauding individuals who have gone above and beyond their usual target for the month. This category propagates our objective of creating a culture of high performance and ensuring leaders applaud performers. The details are as below –

	PARAMETERS
Type	Nomination based
Applicability	Employees are required to meet below criteria – • FOS category upto grade Assistant Manager (Business, Enabling Functions & Support teams) • Individual contributor role • Minimum tenure six (6) months on date of nomination

Eligibility	Target achievement 125% & above for existing business lines Target achievement minimum 80% for *new business lines
Nominating Authority	Zonal Manager & Zonal BHR
Approving Authority	National Manager & Head BHR
Exclusions	- Employees with disciplinary action cases in the past 6 months from the date of nomination - Employees on PIP in past 6 months from the date of nomination - Employees should not be serving notice period on the date of nomination
Frequency	Monthly
Recognition	Gift voucher INR 2500
Process	Basis the target achievement & incentive of the former month, nominations shall be shared by Zonal Manager & Zonal BHR. National Manager & Head BHR shall be responsible to ratify the nominations & share the final winners
Allocation	-

*Business line will be considered as new for a period of twelve (12) months from date of launch

5.4. Quarterly

Our quarterly recognitions are for enablers who go beyond their roles to contribute to the organizational goals.

The details are as below –

	PARAMETERS
Type	Nomination based
Applicability	Employees are required to meet below criteria – - Non FOS category from Deputy Manager to Senior Manager grade (Business, Enabling Functions & Support teams) - People leader role - Minimum tenure six (6) months on date of nomination
Eligibility	Target achievement 125% & above for existing business lines Target achievement minimum 80% for new business lines

Nominating Authority	National Head & Zonal/Corporate BHR
Approving Authority	HOD & Head BHR
Exclusions	Employees with disciplinary action cases in the past 6 months from the date of nomination
	- Employees on PIP in past 6 months from the date of nomination - Employees should not be serving notice period on the date of nomination
Frequency	Quarterly
Recognition	Gift voucher INR 15000
Process	Basis the target achievement & incentive of the former month, nominations shall be shared by National Manager & Zonal/Corporate BHR. HOD & Head BHR shall be responsible to ratify the nominations & share the final winners
Allocation	10% of eligible population

*Business line will be considered as new for a period of twelve (12) months from date of launch

5.5. Half Yearly

The half yearly recognitions aim at appreciation for leaders by leaders. This category is instrumental in ensuring all our mid management leaders are applauded for leading by example.

The details are as mentioned below –

	PARAMETERS
Type	Nomination based
Applicability	Employees are required to meet below criteria – - General Manager to Vice President grade (Business, Enabling Functions & Support teams) - People leader role - Minimum tenure six (6) months on date of nomination
Eligibility	Employee eligibility will be basis two parameters – - Target achievement 125% & above for existing business lines. Target achievement minimum 80% for new business lines. - Leadership scores basis the 360-degree format

Nominating Authority	HOD & Head BHR
Approving Authority	Head HR/ Chief Of Staff
Exclusions	- Employees with disciplinary action cases in the past 6 months from the date of nomination - Employees on PIP in past 6 months from the date of nomination
	Employees should not be serving notice period on the date of nomination
Frequency	Half Yearly
Recognition	Gift voucher INR 25000
Process	Basis the target achievement & incentive of the former month, nominations shall be shared by HOD & Head BHR. Head HR / Chief Of Staff shall be responsible to ratify the nominations & share the final winners
Allocation	5% of eligible population

*Business line will be considered as new for a period of twelve (12) months from date of launch

5.6. MDs League

This category is critical in assessing leader's basis not just their business contribution but other aspects of their leadership style. The category recognizes leaders showcasing exceptional performance along with leadership aligned with our values. The award for MDs league is aimed at recognizing the senior leaders of the organization.

The details are as mentioned below –

	PARAMETERS
Type	Nomination based
Applicability	Employees are required to meet below criteria – - Senior Vice President & above grade (Business, Enabling Functions & Support teams) - People leader role - Minimum tenure six (6) months on date of nomination
Criteria	Employees will be assessed basis below parameters - - Business contribution - Leadership scores - Satisfaction scores - Contribution to brand

Nominating Authority	Head HR & Chief Of Staff
Approving Authority	Managing Director
Exclusions	• Employees with disciplinary action cases in the past 6 months from the date of nomination • Employees on PIP in past 6 months from the date of nomination • Employees should not be serving notice period on the date of nomination
Frequency	Annual
Recognition	Gift voucher INR 150,000
Process	Basis the above parameters, Head HR & Chief of Staff shall recommend nominations. Final decision will be taken by Managing Director at his own discretion.
Allocation	Top three (3) winners in below categories i.e. one (1) winner per category - • Business • Enabling Functions • Support

6. High Performers League

This is the epitome of our reward & recognition scheme aimed at recognizing consistent performance. Our High Performers League recognizes all our winners for the year on an annual basis.

	PARAMETERS
Type	Nomination based
Criteria	Winning employees as per below criteria - • Monthly recognition – Four (4) times in a year • Quarterly recognition – Two (2) times in a year • All half yearly winners • All annual winners
Nominating Authority	Head HR & Chief Of Staff
Approving Authority	Managing Director

Exclusions	- Employees with disciplinary action cases in the past 6 months from the date of nomination - Employees on PIP in past 6 months from the date of nomination - Employees should not be serving notice period on the date of nomination
Frequency	Annual
Recognition	Gift Voucher
Process	Basis the above parameters, Head HR & Chief of Staff shall recommend nominations. Final decision will be taken by Managing Director at his own discretion.
Allocation	-

7. Branch Performance

This category of recognition is dedicated for best performing branches taking into account the cumulative branch performance basis various parameters like Branch productivity, infra, audit scores, employee satisfaction scores, etc. There are two sub categories –

- Quarterly
- Annual

7.1. Quarterly

The quarterly branch awards recognize top performing branches to applaud the culture of collaboration & drive for high performance.

	PARAMETERS
Type	Nomination based
Criteria	Cumulative quarterly branch performance data based on multiple parameters outlined by the organization
Nominating Authority	Finance & Head BHR
Approving Authority	Head HR & Chief of Staff
Frequency	Quarterly

Recognition	- Zone wise categories (North, East, West, South) – One winner per zone - State wise category – One winner per state The reward amount as per below – Tier I – INR 30,000 Tier II – INR 15,000 Tier III – INR 7,500
Process	Basis the above parameters, Finance SPOC & Head BHR shall share recommendation. Final decision will be taken by Head HR & Chief Of Staff.

7.2. Annual

The annual branch awards ensure we recognize not only individuals but also members of cross teams basis performance. This category is instrumental in enhancing collaboration between teams across locations.

	PARAMETERS
Type	Nomination based
Criteria	Cumulative annual branch performance data based on multiple parameters outlined by the organization
Nominating Authority	Finance & Head BHR
Approving Authority	Head HR & Chief of Staff
Frequency	Annual
Recognition	Basis the quarterly recognition, branches with maximum number of recognitions in the year will receive non-monetary recognition - - Zone wise categories (North, East, West, South) – One winner per zone - State wise category – One winner per state
Process	Basis the above parameters, Finance SPOC & Head BHR shall share recommendation. Final decision will be taken by Head HR & Chief Of Staff.

8. New Joiner – Debutant Award

We believe an individual's ability to excel at work is not dependent on the amount of time spent in one role but on his/her capability and willingness to go above and beyond

the role. With this governing principle, this category of award recognizes new joiners basis their performance and behavioral attributes in the early phase of their joining the organization.

	PARAMETERS
Type	Nomination based
Applicability	Employee must be confirmed at the time of confirmation
Eligibility	Based on the feedback scores of new joinee - combination of performance & behavior
Nominating Authority	Head BHR & HOD
Approving Authority	Head HR & Chief of Staff
Exclusions	• Employees with background verification issues • Employees should not be serving notice period on the date of nomination
Frequency	Half Yearly
Recognition	• Category I – Upto Deputy Manager • Category II – Manager to Vice President
	Digital certificate will be awarded
Process	Basis the parameters mentioned above, nominations shall be shared by Head BHR & HOD. Head HR & Chief of Staff shall be final approving authority
Allocation	10% of eligible population

9. Loyalty Awards

We believe in cherishing and valuing continued efforts over a period. Our Loyalty awards have been designed to recognize individuals for career milestones over a long period of time. The category ensures we motivate our employees to keep contributing to the organizational goals while reaping the benefits.

	PARAMETERS
Type	Milestone based
Applicability	All employees falling in the tenure bracket
Eligibility	Achieving specific career milestone as per below – • 5 years • 10 years • 15 years • 20 years • 25 years +

Nominating Authority	Head HR Shared Services
Approving Authority	Head BHR
Exclusions	- Employees should not have any disciplinary cases in the past 6 months - Employee should not be serving notice
Frequency	Quarterly
Recognition	Digital certificate
Process	Basis the career milestone achieved

10. Roles & responsibilities

10.1. Employee

- Employees need to ensure the nominations shared are in line with the criteria and eligibility specified.
- Employees are expected to strive for high level of excellence to achieve the said recognition

10.2. Manager

- Manager have to ensure the nominations are in line with the criteria specified (performance, disciplinary, behavior) and within the eligibility bracket.
- All nominations need to be shared within timelines post performance discussion with the nominee.

10.3. HOD

- HOD will ensure all nominations received are discussed with the nominating managers prior to approving the nominations within timelines.
- HODs to ensure the nominations received are free from bias and strictly based on specified criteria.

10.4. Head BHR, TMOD and TA

- Head BHR, TMOD and TA to ensure all nominations received fall within the specified criteria and eligibility bracket.
- Head BHR, TMOD and TA to ensure all nominations shared and received are free from bias and strictly based on specified criteria.

11. Exceptions

11.1. Any exception to the scheme will require approval from Chief Human Resources Officer and Head Artificial Intelligence.

12. Amendments

- 12.1. HRRM team shall oversee the implementation of this scheme and review its functioning periodically. Changes, if any, in the scheme shall be recommended by Head BHR, TMOD and TA / Head - Compensation and Benefits, HRSS, ER and Governance for its approval by the Chief Human Resources Officer and Head Artificial Intelligence.